September 5, 2026

Compliance Department, **BSE Limited** Phiroze Jeejeebhoy Tower, Dalal Street, Fort, Mumbai - 400 001	Compliance Department, **National Stock Exchange of India Ltd.** Exchange Plaza, Plot No. C/1, G-Block, Bandra Kurla Complex Bandra - (E), Mumbai - 400 051
Scrip Code:- 539889	**NSE Symbol:- PARAGMILK**

Dear Sir / Madam,

Sub: Business Responsibility and Sustainability Report for Financial Year 2025-26

Pursuant to Regulations 34(2)(f) of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations 2015, we are submitting herewith the Business Responsibility and Sustainability Report for Financial Year 2025-26.

Request you to kindly take the same on records.

Thanking you,

For **Parag Milk Foods Limited**

Virendra Lalbahadur Varma
Digitally signed by Virendra Lalbahadur Varma
Date: 2026.09.05 19:38:16 +05'30'

Virendra Varma
Company Secretary &
Compliance Officer
FCS No. 10520

Encl: As above.

Business Responsibility and Sustainability Report

[Regulation 34(2)(f) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015]

This Business Responsibility and Sustainability Reporting (BRSR) has been prepared in accordance with the Securities and Exchange Board of India (SEBI) guidelines for listed companies. The report covers the company's performance on environmental, social, and governance (ESG) parameters for the financial year FY 2025 - 2026.

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1. Corporate Identity Number (CIN) of the Listed Entity	L15204PN1992PLC070209
2. Name of the Listed Entity	Parag Milk Foods Limited ('Company' / 'Parag' / 'PMFL')
3. Year of incorporation	1992
4. Registered office address	Flat No.1, Plot No.19, Nav Rajasthan Soc., Behind Ratna Memorial Hospital, S.B. Road, Shivaji Nagar, Pune, Maharashtra- 411016
5. Corporate address	10th Floor, Nirmal Building, Nariman Point, Mumbai-400021
6. E-mail	investors@parag.com
7. Telephone	022 - 4300 5555
8. Website	http://www.paragmilkfoods.com/
9. Financial year for which reporting is being done	FY 2025 - 2026
10. Name of the Stock Exchange(s) where shares are listed	BSE Limited ('BSE') National Stock Exchange of India Limited ('NSE')
11. Paid-up Capital	Rs.1,25,10,95,540 (Divided into 12,51,09,554 equity shares of Rs.10 each).
12. Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Mr. Brian D'Penha, Head -Investor Relations Telephone: 022 - 4300 5555 Email address: investors@parag.com
13. Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	The disclosure under this report is on standalone basis for Parag Milk Foods Limited, unless otherwise specified.
14. Name of assurance provider	J. Sundharesan and Associates
15. Type of assurance obtained	Limited assurance

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

Sr. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Manufacturing	Parag Milk Foods Limited, established in 1992, is the largest private dairy FMCG Company with a Pan India presence. The Company's manufacturing facilities with in-house technology which are strategically located at Manchar and Thorandale in Maharashtra and Palamaner in Andhra Pradesh. The Company sells 100% cow's milk products that are healthy and nutritious. Integrated business model and strong R&D capabilities have helped the Company emerge as a leader in innovation. The Company's dairy farm, Bhagyalaxmi, houses more than 5,000 cows, with an automated milking process. The Company offers traditional products like Ghee, Dahi, Paneer, Liquid Milk, etc. under brand "Gowardhan", and products like Cheese, UHT Milk, Buttermilk, Lassi, Flavoured Milk Shakes, etc. under the brand name "Go". "Pride of Cows", the flagship brand of the Company based on proposition of Farm to Home – single origin concept targeting customers seeking premium quality dairy products. The Company is also present in Whey Protein based sports nutrition under the brand Avvatar – India's 1st 100% vegetarian whey protein. The Company's goal is to become the global nutrition provider and become the largest dairy FMCG Company that emphasizes health and nutrition to consumers through quality and innovation.	100%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

Sr. No.	Product/Service	NIC Code	% of total Turnover contributed
1	Manufacture of dairy products	1050	100%

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of Depots	Number of offices	Total
National	3	29	10	42
International	NIL	NIL	NIL	NIL

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	28
International (No. of Countries)	16

b. What is the contribution of exports as a percentage of the total turnover of the entity?

2.17%

c. A brief on types of customers

Consumers

We develop and market innovative products under our portfolio of brands, delivering joy, health, and nutrition to our consumers. Our diverse product range includes dairy products, ready-to-eat sweets and India's first whey protein-based nutrition brand. Through strategic premiumization, we have enhanced our offerings to meet evolving consumer needs.

Retailers and Distributors

With an extensive and robust distribution network comprising 29 strategically located depots, over 500 super stockists, and an extensive network of more than 4,500 distributors, our company effectively reaches and serves an extensive network of over 4.6 lakh retail counters across diverse geographical locations.

Institutional Customers

Our Company has successfully forged strong partnerships with reputable institutional and HORECA (Hotels, Restaurants, and Catering) customers. These valued customers rely on our exceptional product portfolio, including cheese, skim milk powder and whey products, to fulfil their distinct requirements and elevate their culinary offerings.

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
	EMPLOYEES					
1	Permanent (D)*	1670	1479	88.6	191	11.4
2	Other than Permanent (E)	216	205	94.9	11	5.1
3	**Total employees (D + E)**	**1886**	**1684**	**89.3**	**202**	**10.7**
	WORKERS					
4	Permanent (F)	403	402	99.8	1	0.2
5	Other than Permanent (G)	1111	648	58.3	463	41.7
6	**Total workers (F + G)**	**1514**	**1050**	**69.4**	**464**	**30.6**

*Permanent employees exclude the Board of Directors

b. Differently abled Employees and workers:

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
	DIFFERENTLY ABLED EMPLOYEES					
1	Permanent (D)	1	-	-	1	100.0
2	Other than Permanent (E)	-	-	-	-	-
3	**Total differently abled employees (D + E)**	**1**	**-**	**-**	**1**	**100.0**
	DIFFERENTLY ABLED WORKERS					
4	Permanent (F)	7	7	100.0	-	-
5	Other than Permanent (E)	-	-	-	-	-
6	**Total differently abled workers (F + G)**	**7**	**7**	**100.0**	**-**	**-**

21. Participation/Inclusion/Representation of women

Particular	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors*	8	2	25.00
Key Management Personnel**	1	-	-

* Board of Directors includes Chairperson, MD, One Executive Director and Five Non-Executive Directors

** KMP includes Company Secretary

22. Turnover rate for permanent employees and workers

Particular	FY 2025 - 2026 (Turnover rate in current FY)			FY 2024 - 2025 (Turnover rate in previous FY)			FY 2023 - 2024 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	35%	31%	35%	41%	18%	39%	35%	18%	33%
Permanent Workers	8%	-	8%	6%	-	6%	4%	7%	4%

(a) Names of holding / subsidiary / associate companies / joint ventures

Sr. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business responsibility initiatives of the listed entity? (Yes/No)
1	Bhagyalaxmi Dairy Farms Private Limited	Wholly Owned Subsidiary	100%	No, nevertheless, the unlisted private subsidiary independently undertakes its own business responsibility initiatives while ensuring alignment with the company's environmental, social, and governance (ESG) initiatives.
2	Parag Foods Middle East FZE	Wholly Owned Subsidiary	100%	No. Not Applicable as the entity is yet to commence its operations.

VI. CSR Details

23. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No)

Yes

(₹ in Crore)

	Current Year (FY 2025-26)	Previous Year (FY 2024-25)
a. Turnover	3742.03	3,367.40
b. Net worth	1246.66	1,030.24

VII. Transparency and Disclosures Compliance

24. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/ No)*	FY 2025-26 Current Financial Year			FY 2024-25 Previous Financial Year		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes	-	-	-	-	-	-
Investors (other than shareholders)	Yes	-	-	-	-	-	-
Shareholders	Yes	6	-	-*	1	-	-*
Employees and workers	Yes	-	-	-	-	-	-

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/ No)*	FY 2025-26 Current Financial Year			FY 2024-25 Previous Financial Year		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Customers	Yes	2522**	-	-*	2219**	-	-*
Value Chain Partners	Yes	-	-	-	-	-	-
Other (please specify)	Yes	-	-	-	-	-	-

*All the complaints received have been successfully addressed and resolved.

**Includes all kinds of complaints that have been filed by customers with respect to delivery of milk and all consumer queries, product related information, complaints, and services received through phone, emails.

Stakeholder group from whom complaint is received	Web Link for Grievance Policy
Communities	https://www.paragmilkfoods.com/investors.php
Investors (other than shareholders)	https://www.paragmilkfoods.com/investors.php
Shareholders	https://www.paragmilkfoods.com/investors.php
Employees and workers	https://www.paragmilkfoods.com/investors.php
Customers	https://www.paragmilkfoods.com/investors.php
Value Chain Partners	https://www.paragmilkfoods.com/investors.php
Other (please specify)	https://www.paragmilkfoods.com/investors.php

25. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format:

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	**GHG Emissions**				
		Risk	Greenhouse gas (GHG) emissions pose several risksfor dairy companies, which contribute significantly to global emissions. Climate change intensifies due to GHG emissions, leading to shifting weather patterns. These shifts compromise the availability and quality of essential resources like water and feed crops for dairy cattle. Rising temperatures increase heat stress in cattle, negatively affecting their health and productivity.	To mitigate GHG emissions risks, PMFL is taking the following actions: **Enhancing feed efficiency** ● Improving the nutritional content and digestibility of cattle feed to reduce enteric methane emissions per unit of milk produced. ● Implementing precision Feeding techniques to minimize waste and optimize animal performance. ● Decreasing manure emissions ● Utilizing better manure management practices such as composting and anaerobic digestion to reduce methane and nitrous oxide emissions. ● Exploring technologies that capture and reuse biogas for energy. **Using 45% clean renewable energy in operations** Transitioning to solar, wind, and other renewable sources to power processing plants and other facilities. Reducing reliance on fossil fuels, thereby lowering the company's carbon footprint.	**Negative** The impact of GHG emissions on climate change can create supply chain disruptions. Extreme weather events like droughts and floods can affect feed availability, milk production, and transportation logistics, resulting in input cost volatility and potential shortages.

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
				Implementing conservation measures Promoting land stewardship practices that preserve soil health and biodiversity. Investing in sustainable agriculture and regenerative practices across the supply chain. **Optimizing water usage** Installing water-efficient systems and recycling water wherever possible in production and cleaning processes. Monitoring water usage to reduce waste and ensure sustainable consumption. **Addressing public concerns about ecological impact** Increasing transparency through sustainability reports and public communication. Engaging with stakeholders and local communities to build trust and demonstrate environmental responsibility.	
2	**Water Management**				
		Risk	Effective water management is crucial in the dairy industry for maintaining hygiene, product quality, and sustainability. Poor water quality can harm the taste, texture, and shelf-life of dairy products, impacting brand reputation. Water scarcity challenges animal welfare and farm profitability, as dairy farming relies heavily on water. Unsustainable water usage and wastewater disposal can lead to pollution and ecosystem degradation.	To address water management risks, PMFL has implemented various strategies, including water conservation practices, monitoring water usage, and implementing water management plans. As a result, it has significantly reduced water consumption per litre of milk handled. Approximately 55% of the unit's water usage is sourced from recycled sources, demonstrating commitment to responsible water management and environmental preservation. This achievement is driven by recycling and reusing ETP-treated water for gardening, agriculture, and cleaning milk storage tankers, adoption of the Zero Liquid Discharge principle.	**Negative** Poor water management can lead to significant negative financial consequences for a company operating in the dairy industry. Dairy production is heavily waterintensive, requiring large quantities for livestock, cleaning, processing, and cooling activities. Scarcity of water resources can further disrupt production schedules, limit livestock health and milk yield, and cause raw material supply constraints, leading to lower output and revenue losses.
3	**Waste Management**				
		Risk	Improper disposal of dairy waste can result in environmental pollution, contaminating water sources and harming local ecosystems. Health hazards emerge as manur accumulation becomes a ground for pathogens, posing threats to both livestock and nearby communities.	To mitigate the risk, PMFL has implemented effective waste management system by implementing end-to-end operations generate Fly ash, ETP Sludge, Paper waste and Plastic waste and treat them responsibly.	**Negative** Poor waste management practices can result in significant financial risks for a company operating in the dairy industry. The production process generates substantial waste, including manure, wastewater, packaging materials, and byproducts from processing activities.

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4	**Product Quality and Safety**				
		Both	Product quality and safety can pose both risks and opportunities for our Company. Here are some reasons: **Risk:** Food safety concerns, Cost of compliances, include hiring personnel, implementing quality control measures, and investing in technology to ensure product safety. **Opportunity:** Our Company differentiates themselves from competitors and establish a competitive advantage. Consumers are willing to pay more for products that are perceived to be of higher quality and safe. Prioritizing product quality and safety encourages innovation and differentiation within the industry.	Implementing quality control measures, investing in technology, Developing a robust crisis management plan, educating employees and collaborating with regulators.	**Positive & Negative Positive** Prioritizing product quality and safety creates strong positive financial implications for the company. By differentiating themselves from competitors through superior quality and safe products, the company is able to build greater trust and loyalty among consumers, leading to more stable and consistent sales volumes. A strong focus on quality and safety encourages internal innovation and continuous improvement, resulting in the development of new and improved products that can capture additional market share. **Negative** Food safety concerns and the associated cost of compliances can lead to significant negative financial implications for a company. Implementing strict quality control measures and acquiring advanced technologies for monitoring, testing, and traceability require substantial capital investment.
5	**Customer Welfare**				
		Opportunity	Customer welfare presents a significant opportunity for our Company to improve their financial performance and grow their business. By prioritizing customer needs, dairy companies can build trust and loyalty with customers, increase sales and revenue, and enhance their brand reputation and market positioning, which can all contribute to long-term success.	-	**Positive** Focusing on customer welfare has positive financial implications for a company in the dairy industry. By ensuring that products are safe, nutritious, and responsibly produced, the company builds stronger trust and loyalty among consumers, leading to repeat purchases and long-term customer relationships.

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
					As part of our commitment to public health and well-being, the company places a strong emphasis on addressing nutritional deficiencies through our product offerings. By delivering high-quality, nutrient-rich dairy products, we aim to support better nutrition outcomes across the communities we serve. This proactive approach not only aligns with our mission to promote healthier lifestyles but also plays a vital role in enhancing customer trust and loyalty.
6	**Competitive Behaviour**				
		Opportunity	Competitive behaviour is an opportunity for our Company, as it can lead to innovation, increased market share, improved efficiency, higher customer satisfaction, and overall industry growth.	-	**Positive** Competitive behaviour creates positive financial implications for the company by driving innovation, operational improvements, and market expansion. In responding to competition, the company is encouraged to develop better products, optimize processes, and enhance customer serviceactions that attract new customers and strengthen existing customer loyalty. As part of this strategy, the company is actively prioritizing new product development, ensuring that it remains agile and responsive to evolving consumer needs and market trends.

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7	Data Privacy and Security				
		Risk	Ensuring the security of data across the entire value chain particularly customer data is critical to the continuity and integrity of our business operations. Any breach of data privacy could lead to the exposure of sensitive company information, resulting in potential fraud, operational disruptions, and reputational damage. With the company's product Avvatar also being sold through online platforms, the importance of robust data privacy and cybersecurity measures is significantly heightened. We continue to invest in advanced IT infrastructure, secure payment systems, and compliance with relevant data protection regulations to mitigate these risks and uphold the trust our customers place in us.	The Company has implemented a cyber security policy to prevent any possible cyber-attack, data breach or any sabotage attempt to disrupt business processes. The Company has also developed a proper business continuity plan which includes building of redundancy for entire IT infrastructure and network.	**Negative** Data breaches pose significant financial risks to the company, including potential regulatory fines, legal liabilities, and operational disruptions—particularly critical given our growing online presence through the Avvatar brand. A serious breach can lead to loss of customer trust, reduced sales, and long-term reputational damage. These risks underscore the importance of robust data protection measures as a key element of our business continuity and financial resilience strategy.

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Sr. No		Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
			P1 through P9 Responses								
		Policy and management processes									
1.	a	Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No/NA)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	b	Has the policy been approved by the Board? (Yes/No/NA)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	c	Web Link of the Policies, if available	[https://www.paragmilkfoods.com/investors.phpunderCorporate Governance>Policies tab](https://www.paragmilkfoods.com/investors.php)								
2		Whether the entity has translated the policy into procedures. (Yes / No / NA)	Yes, the Company has translated the policies into procedures.								
3		Do the enlisted policies extend to your value chain partners? (Yes/No/NA)	Yes, these extend to value chain partners wherever it is relevant and to the extent applicable.								
4.		Name of the national and international codes/certifications/labels/standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g. SA 8000, OHSAS 18001, ISO, BIS) adopted by your entity and mapped to each principle.	Our Company's operations adhere to the NGBRC.	Food Safety Management System ISO: 22000:2018,Halal Certificate 1500-2019	Occupational Health and Management Systems OHSAS 45001:2018	Our Company's operations adhere to the NGBRC.	Occupational Health and Management Systems OHSAS 45001:2018	Environmental Management Compliance System ISO: 14001:2015, Certification on Energy Management 50001:2018	Our Company's operations adhere to the NGBRC.	Our Company's operations adhere to the NGBRC.	Our Company's operations adhere to the NGBRC.

Disclosure Question	Specific commitments, goals and targets set by the entity with defined timelines, if any.	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.
P2	**Packaging Material Optimization** Our goal is reduce overall packaging material consumption losses by 10% against the previous losses in FY 2026-27 with a longer-term objective of achieving a 15% improvement per metric ton by the year 2030. These targets will be met through innovations in packaging design and material efficiency. Transition to Recyclable Packaging We are committed to transitioning to100% recyclable packaging materials by the year 2030. This initiative supports our broader environmental goals and reinforces our dedication to sustainable product stewardship.	Upheld our product commitment to customer welfare by focusing on high quality, responsibly sourced products that align with our sustainability values

Disclosure Question	Specific commitments, goals and targets set by the entity with defined timelines, if any.	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.
P6	**Water Management** To optimise water management practices and ensure the efficient and sustainable use of water resources within our company.	**Reduction in Water Consumption** We are committed to optimize water usage by using recycled water more than 10% of the total volume. This initiative aligns with our broader sustainability objectives and reflects our ongoing efforts to optimize water use across our operations. Increase in Water Recycling We aim to increase the recycling of water by 10% by 2027. This strategy will contribute significantly to enhancing resource efficiency and reducing our environmental footprint, ensuring that we meet both operational needs and sustainability targets
	Waste Management To establish effective waste management practices within our company, focussing on waste reduction, recycling responsible disposal and minimising environment impacts.	**Waste Reduction** By the year 2027, we aim to reduce Fat losses by 30% over the 1.5 % losses in year 2025-26 by improving opertional efficiency through structured process optimization and targeted waste reduction initiatives. This approach reflects our commitment to operational efficiency and environmental responsibility. **Increase in Waste Recycling** We are enhancing our waste recycling efforts by promoting the reuse of materials within our operations and actively exploring opportunities to implement circular economy practices. These efforts are intended to reduce landfill dependency and promote sustainable resource use.
	Energy Management To achieve efficient energy management practices within our company, focussing on optimising energy use, reducing consumption, promoting energy efficiency and increasing the adoption of renewable energy sources.	**Green Energy Sourcing** By FY2027, we aim to source 45% of our electricity from green energy solutions, including solar and biogas. Looking ahead, our goal is to ensure that 75% of our total electrical energy comes from renewable sources, and by 2030, we plan to source 50% of our overall energy needs-including thermal and electrical energy-from clean and sustainable sources. Reduction in Non-Renewable Energy Consumption We are targeting a 20% reduction in nonrenewable energy consumption through strategic investments in renewable energy infrastructure, such as the installation of solar panels and biogas plants. In addition, we are actively exploring green energy procurement partnerships to accelerate our transition toward a low-carbon energy mix. **Energy Monitoring and Reporting** To support our energy efficiency goals, we will implement comprehensive energy monitoring and reporting systems. We plan to achieve more than 45% increase in energy usage from Renewable sources, demonstrating our strong commitment to clean energy adoption. • For the same volume of production, we plan to decrease the GHG emission less than 20%, contributing to improved air quality and environmental performance. • For the same volume of production, we plan to decrease the GHG emission less than 20% in Scope 1 and Scope 2 greenhouse gas emissions compared to the previous year, reflecting ongoing efforts in energy efficiency and emission control. • Continued to increase the use of renewable resources across operations to reduce environmental impact.

Sr. No	Disclosure Questions	P1 through P9 Responses								
		P1	P2	P3	P4	P5	P6	P7	P8	P9
	Governance, leadership and oversight									
7	Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)	"At Parag Milk Foods Limited, we believe that sustainable growth is the foundation of long-term success. Over the past year, we have taken decisive steps to reduce our environmental footprint while delivering value to our customers and communities. We plan to achieve more than 45% increase in renewable energy consumption, reduction in Scope 1 and Scope 2 emission less than 20% and decrease in particulate matter by more than 10% from air emissions. These achievements are a direct result of our investments in solar and biogas energy, use of wood briquettes, and adoption of more eco-friendly refrigerants. Our biogas generation initiatives-across ETP plants and farms-not only support internal energy needs but also empower over 250 milk producers through integrated renewable energy systems, reducing their dependence on conventional fuels. We are proud to say that these efforts reflect our unwavering commitment to environmental responsibility. In parallel, we continue to prioritize customer welfare by focusing on nutrition, product quality, and sustainable sourcing. With a strong emphasis on new product development, we are responding to evolving consumer needs while maintaining high standards of hygiene, sanitation, and quality control. Our competitive approach drives continuous improvement across operations, from packaging innovations to waste reduction and water conservation. By reducing water consumption per litre of milk, increasing water recycling, and transitioning toward 100% recyclable packaging by 2030, we are not just meeting compliance we are shaping a future our stakeholders can be proud of. These efforts reflect our mission to grow responsibly while creating lasting positive impact for our customers, partners and the planet." - **Pritam Shah**, Managing Director (DIN: 01127247)								
8	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Board of Directors is the highest authority responsible for implementation and oversight of the Business Responsibility policies.								
9	Does the entity have a specified Committee of the Board/ Director/ Official for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes Board of Directors is entrusted with the task of making decisions on sustainability-related issues. In addition to this, the committee ensures that the organization adheres to all applicable sustainability regulations and laws and takes necessary action on related issues.								

10. Details of Review of NGRBC by the Company

Subject for Review	Indicate whether review was undertaken by Director/Committee of the Board/Any other Committee	P1 through P9 Responses								
		P1	P2	P3	P4	P5	P6	P7	P8	P9
a. Performance against above policies and follow up action	Yes, performance against enlisted policies and necessarily follow up actions are duly reviewed by the Board of Directors	Annually								
b. Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	Yes, we comply with statutory requirements relevant to the principles with regard to Statutory requirements and review was undertaken by the Board of Directors.	Half Yearly. Yes, we comply with statutory requirements relevant to the principles with regard to Statutory requirements and review was undertaken by the Board of Directors.								
11. Has the entity carried out independent assessment / evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.		Yes, all the policies of the Company are internally evaluated. J. Sundharesan and Associates, specialising in Compliance, Governance and Sustainability advisory has reviewed/ assessed the working of the policies.								

12. If answer to question (1) above is "Yes", has it been disclosed?

	P1 through P9								
	P1	P2	P3	P4	P5	P6	P7	P8	P9
Reasons for not covering Principles (Q10)									
If answer to question (1) above is "Yes", has it been disclosed that all Principles are covered by a policy (Yes/No)									
The entity does not consider the Principles material to its business (Yes/No)									
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)					-				
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

Principle	Description	Parag Milk Foods
P1	Ethics, Transparency and Accountability: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.	• Anti Corruption Policy • Whistle Blower Policy • Policy on Code of Conduct for Board Directors and Senior Management • Policy on prohibition of Insider Trading • Policy on Determining Materiality of an Event • Policy on Related Party Transactions; Cybersecurity Policy • Code of practices and procedures for fair disclosure of UPSI
P2	Product Lifecycle Sustainability: Businesses should provide goods and services in a manner that is sustainable and safe.	• Policy on Code of Conduct for Board • Directors and Senior Management; • Suppliers Code of Conduct • Health andSafety Policy; Environment Policy • Human Rights Policy

Principle	Description	Parag Milk Foods
P3	Employee Well-being: Businesses should respect and promote the well-being of all employees, including those in their value chains.	• Health and Safety Policy • Human Rights Policy • POSH Policy • Whistle Blower Policy
P4	Stakeholder Engagement: Businesses should respect the interests of and be responsive to all its stakeholders.	• Suppliers Code of Conduct • Whistle Blower Policy • Policy on Corporate Social Responsibility • Stakeholder Management Policy • Anti-Corruption Policy
P5	Promoting Human Rights: Businesses should respect and promote human rights.	• Health and Safety Policy • Human Rights Policy • POSH Policy • Anti Corruption Policy
P6	Protection of Environment: Businesses should respect and make efforts to protect and restore the environment.	• Environment Policy
P7	Responsible Policy Advocacy: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.	• Policy on Corporate Social Responsibility • Policy on Responsible Advocacy • Anti-Corruption Policy
P8	Support Inclusive Growth: Businesses should promote inclusive growth and equitable development.	• Policy on Board Diversity • Human Rights Policy • Policy on Corporate Social Responsibility
P9	Providing Customer Value: Businesses should engage with and provide value to their consumers in a responsible manner.	• Cybersecurity Policy • Whistle Blower Policy

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

1 PRINCIPLE

Businesses should conduct and govern themselves with integrity and in a manner that is Ethical, Transparent and Accountable.

(This principle focuses on the importance of ethical conduct and transparency in business operations. Companies should follow ethical business practices and adhere to high standards of integrity. They should also be transparent about their activities, operations, and financial reporting.)

Essential Indicators

1. **Percentage coverage by training programme on any of the principles during the financial year:**

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	% age of persons in respective category covered by the awareness programmes#
Board of Directors	11	• Governance&regulatory/Compliancerequirements • ESG Parameters & targets • Overview of the operations of the plants • Periodic review of the Company business • Prospects for the dairy industry	100
Key Managerial Personnel	11	• Corporate Governance practices • ESG matters • Updation of laws applicable to Company • Code of conduct • Compliance related (POSH + Insider Trading)	100
Employees other than BoD and KMPs	456	• Corporate Induction • Sales Training • Product Knowledge • HRMS • Compliance Related (POSH + Insider Trading) • Skill Upgradation	100
Workers	280	GMP, HACCP, Personal Hygiene, Energy Conservation and Department, Operation, Safety, FOSTAC	100

(GMP-Good Manufacturing Practice, HACCP-Hazardous Analysis and Critical Control Points, FOSTAC-Food Safety Training and Certification)

As applicable in respective Category

2. **Details of fines / penalties /punishment/ award/ compounding fee/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulatory/ law enforcement agencies/ judicial institutions, in the financial year, in the following format:**

Particulars	Monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amounts in Rs. (in thousands only)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine Settlement Compounding Fee	There were no fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the Company or by Directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions during FY 2025-26 which were material as specified in Regulation 30 (4) (i) (c) of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015.				

Particulars	Non-Monetary NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment	NIL	NIL	NIL	NIL
Punishment	NIL	NIL	NIL	NIL

3. **Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been taken by the regulatory/ law enforcement agencies/ judicial institutions, in the following format:**

Case Details	Name of the regulatory/enforcement agencies/judicial institutions
-	-

4. **Does the entity have an anti-corruption or anti-bribery policy? (Yes / No)**

If yes, provide details in brief and if available, provide a web-link to the policy.

Policy Status: Yes

Policy Details: Yes, our Company has an anti-corruption or anti-bribery policy. This policy is applicable to all employees, members of the Board of Directors, Key Management Personnel (KMP), business partners, vendors, consultants, agents and any other individuals or entities acting on behalf of the Company. It ensures that everyone associated with the Company upholds the same values of honesty, accountability and lawful behaviour, regardless of their role or seniority. The policy outlines specific expectations and responsibilities, compelling all covered individuals to act ethically and transparently in their day-to-day activities. It prohibits any form of bribery, facilitation payments, kickbacks or other corrupt practices, whether direct or indirect. It also emphasizes that all financial transactions must be properly documented and in full compliance with applicable laws and internal controls, to prevent the misuse or concealment of funds.

Importantly, the policy includes specific provisions for the Board of Directors and Key Management Personnel, requiring them to lead by example and ensure full compliance with the Company's Code of Conduct. These leaders are expected to actively promote ethical behaviour, oversee the policy's implementation and support ongoing training and awareness efforts across the organization.

By instituting this policy, the Company reinforces its zero-tolerance approach to corruption and bribery.

Violations of the policy will result in strict disciplinary measures, including potential termination, legal action and reputational consequences. The Company also encourages employees and stakeholders to report any suspected unethical behaviour through appropriate channels, with the assurance of confidentiality and protection against retaliation. The Policy can be accessed at https://www.paragmilkfoods.com/policy.php?id=64

Web Link: https://www.paragmilkfoods.com/policy.php?id=64

5. **Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the offences under the Prevention of Corruption Act-1988 and/or Protection of Whistleblowers Act, 2014. If yes, provide details:**

Particulars	FY 2025 - 2026	FY 2024 - 2025
Directors	NIL	NIL
KMPs	NIL	NIL
Employees	NIL	NIL
Workers	NIL	NIL

6. **Details of complaints with regard to conflict of interest:**

Case Details	FY 2025 - 2026	FY 2024 - 2025
Number of complaints received in relation to issues of Conflict of Interest of the Directors	NIL	NIL
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	NIL	NIL

7. **Provide details of any corrective action taken or undertaken on issues related to fines / penalties / punishment, on the following basis:**

Not applicable, since no fines, penalties or actions were imposed by regulatory, law enforcement or judicial authorities on cases related to corruption and conflicts of interest. The Company has established policies, processes, systems and monitoring mechanisms to ensure compliance, which are regularly reviewed and updated with global best practices. The implementation of these policies is ensured through regular training, communication and awareness-building sessions.

8. **Number of days of accounts payables in the following format:**

Number of days of accounts payables	FY 2025 - 2026	FY 2024 - 2025
Number of days of accounts payables	30.84	32.10

9. **Openness of business**

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2025 - 2026	FY 2024 - 2025
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	-	-
	b. Number of trading houses where purchases are made from	NIL	NIL
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	-	-
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	70.54%	65.20%
	b. Number of dealers / distributors to whom sales are made	4622	4215
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	27.88%	22.55%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	2.45%	2.50%
	b. Sales (Sales to related parties / Total Sales)	0.78%	0.19%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	36.08%	23.72%
	d. Investments	95.75%	95.75%

2 PRINCIPLE

Businesses should provide goods and services in a manner that is sustainable and safe.

Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

Sr. No.	Particular	FY 2025 - 2026	FY 2024 - 2025	Details of improvements in environmental and social impacts
1	R&D	Nil	Nil	-
2	Capex	0.12%	2.71%	Impact: With the installation of the new 100 KL STP, sewage streams have been completely segregated, and the plant is operating at its full designed capacity for canteen and domestic sewage. The treated water consistently meets Pollution Control Board norms, ensuring regulatory compliance and improved environmental sustainability

2. **Sustainable sourcing:**

Does the entity have procedures in place for sustainable sourcing? (Yes/No)	**1. Responsible and Ethical Sourcing** • The Company is committed to responsible sourcing by building ethical, transparent, and long-term relationships with suppliers, vendors, and service providers. • Sustainable procurement practices are embedded across the supply chain to create long-term value while ensuring responsible business conduct. **2. Strengthening Dairy Farmer Partnerships** • Dairy farmers are a vital part of the Company's value chain and play a key role in ensuring a sustainable supply of quality milk. • The Company collaborates closely with farmers to promote sustainable dairy practices, enhance livelihoods, and address key sustainability challenges, thereby fostering resilient and inclusive value chains. **3. Freshness Through Efficient Procurement and Logistics** • The Company procures milk directly from dairy farmers to maintain quality, traceability, and freshness. • A robust procurement and cold chain logistics network enables timely transportation to chilling centres, preserving the nutritional value of milk and minimizing post-procurement losses. **4. Integrating Sustainability into the Supply Chain** • Sustainability principles are integrated throughout the sourcing and procurement process to improve operational efficiency and reduce environmental impact. • The Company continuously strengthens its sourcing practices to support responsible resource utilization while ensuring the consistent delivery of high-quality dairy products to consumers.
If yes, what percentage of inputs were sourced sustainably?	100

3. **Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for**

(a) Plastics (including packaging)	• The Company engages authorized and certified waste handlers for the collection and disposal off plastic waste. • Plastic waste, including packaging waste, is recycled in accordance with the applicable Extended Producer Responsibility (EPR) framework. • Hazardous plastic waste is disposed of through authorized vendors. • Organic waste, including food waste generated during operations, is converted into manure wherever feasible.
(b) E-waste	• The Company disposes of electronic waste through authorized IT dismantling, refurbishing, and recycling facilities upon completion of the assets' useful life. • isposal and recycling certificates are obtained from the respective authorized e-waste vendors to ensure compliance with applicable environmental requirements.
(c) Hazardous waste	• End-of-life batteries are disposed of through authorized vendors under buyback arrangements with Original Equipment Manufacturers (OEMs). • Used oil and other hazardous waste are handed over to government-authorized and registered recyclers for environmentally sound disposal.

(d)	other waste	• The Company engages certified waste management agencies for the disposal of other operational waste. • Disposal and recycling certificates are obtained from the respective waste management vendors as part of the Company's compliance process. • Water Recycling and Reuse • Treated effluent water generated during the manufacturing process is recycled and reused for non-potable applications such as washing milk storage tankers, cleaning crates, and gardening, thereby promoting efficient water management. • The Company follows the principles of Reduce, Recycle, and Recover (3R) to enhance resource efficiency, minimize waste generation, and support environmentally sustainable operations
4.a	Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No)	Yes
b	If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards?	Our Company is committed to circularity in waste management. The company received registration certificate for Brand Owner from Central Pollution Control Board in the month of June 2022, Reg number: Regn.No.BO-15-000-06-AABCP0425G-22. The waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards. Collection targets set and met for FY 2025-26 are as follows:

Sl. No	State/UT	Financial Year 2025-26 (Quantity in MT)			
		Cat-I	Cat-II	Cat-III	Cat-IV
1	CPCB	1724	742	751	-
	Total	1724	742	751	-

c	If not, provide steps taken to address the same	-

3

PRINCIPLE

Businesses should respect and promote the well-being of all employees, including those in their value chains.

(This principle emphasizes the importance of employee well-being. Companies should provide safe and healthy working conditions, fair wages, and opportunities for career development to all employees in their value chains, including suppliers, contractors, and temporary workers.)

Essential Indicators

1 a. Details of measures for the well-being of employees:

Category	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D / A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	1479	1056	71	1479	100	-	-	-	-	-	-
Female	191	77	40	191	100	191	100	-	-	-	-
Total	**1670**	**1133**	**68***	**1670**	**100**	**191**	**11**	**-**	**-**	**-**	**-**

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D / A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Other than permanent employees											
Male	205	205	100	205	100	-	-	-	-	-	-
Female	11	11	100	11	100	-	-**	-	-	-	-
Total	**216**	**216**	**100**	**216**	**100**	**-**	**-**	**-**	**-**	**-**	**-**

*The company has provided all employees to avail the option of Company's health insurance coverage. Few employees have decided to opt out of the Company's health insurance coverage and have opted for external health insurance policies.

**Other than permanent employees consist of contract workers who are not provided maternity benefits directly by the Company, as the responsibility for payment lies with the contractor.

1 b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D / A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent workers											
Male	402	103	25.6	402	100.0	-	-	-	-	-	-
Female	1	-	-	1	100.0	1	100.0	-	-	-	-
Total	**403**	**103**	**25.6**	**403**	**100.0**	**1**	**-**	**-**	**-**	**-**	**-**
Other than permanent workers											
Male	648	648	100.0	648	100.0	-	-	-	-	-	-
Female	463	463	100.0	463	100.0	-*	-	-	-	-	-
Total	**1111**	**1111**	**100.0**	**1111**	**100.0**	**-**	**-**	**-**	**-**	**-**	**-**

*Consist of contract workers who are not provided maternity benefits directly by the Company, as the responsibility for payment lies with the contractor.

1 c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format

	FY 2025 - 2026	FY 2024 - 2025
Cost incurred* on well- being measures as a % of total revenue of the company	0.25%	0.25%

*includes staff welfare expenses incurred on canteen facilities and uniforms for employees and workers.

2. Details of retirement benefits, for Current FY and Previous Financial Year:

Category	FY 2025 - 2026			FY 2024 - 2025		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI	8%	29%	Y	10%	53%	Y
Others – please specify	-	-	-	-	-	-

The above details pertains to permanent employees/workers

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the Rights of Persons with Disabilities Act, 2016?	Yes
If not, whether any steps are being taken by the entity in this regard.	The offices are accessible to all its employees including persons with disabilities. The employees are frequently consulted to improve and manage the mobility needs of people with disabilities.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016?

If so, provide a web-link to the policy.	The Human Rights Policy provides guidance to be fair and act against discrimination. Discrimination on the basis of race, sex, religion, age, disability, national origin, or other such factors is an explicit violation of this Policy. https://www.paragmilkfoods.com/pdfs/PMFL-Human-Rights-Policy.pdf

5. **Return to work and Retention rates of permanent employees and workers that took parental leave.**

Gender	Permanent Employees		Permanent Workers	
	Return to work rate	Retention Rate	Return to work rate	Retention Rate
Male	-	-	-	-
Female	100.00%	100.00%	-	-
Total	**100.00%**	**100.00%**	**-**	**-**

6. **Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.**

Category	Yes/No	If Yes, then give details of the mechanism in brief
Permanent Workers	Yes	Yes, the Company has a whistle blower and Protection policy in place which provides guidance to raise a complaint in case of any concerns.
Other than Permanent Workers	Yes	Yes, non-permanent workers on our Company's plants are contracted via a 3rd party and their grievance redressal mechanism rests with the contractors. The company ensures that all norms and regulations while working on plants are met.
Permanent Employees	Yes	Yes, the Company has a whistle blower and Protection policy in place which provides guidance to raise a complaint in case of any concerns.
Other than Permanent Employees	Yes	Vendors/contractors are governed under the agreements /contracts signed off. In case of any grievance, they can approach the concerned head of Department or HR directly.

7. Membership of employees and workers in association(s) or Unions recognised by the listed entity:

Category	FY 2025 - 2026			FY 2024 - 2025		
	Total employees / workers in respective category	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (E/D)
Total Permanent Employees	1670	-	-	1563	-	-
Male	1479	-	-	1398	-	-
Female	191	-	-	165	-	-
Total Permanent Workers	403	-	-	406	-	-
Male	402	-	-	405	-	-
Female	1	-	-	1	-	-

8. Details of training given to employees and workers:

Category	FY 2025 - 2026					FY 2024 - 2025				
	Total (A)	On Health and Safety Measures		On Skill Upgradation		Total (D)	On Health and Safety Measures		On Skill Upgradation	
		Number (B)	% (B/A)	Number (C)	% (C/A)		Number (E)	% (E/D)	Number (F)	% (F/D)
					Employees					
Male	1684	1684	100.00	1684	100.00	1561	1561	100.00	1561	100.00
Female	202	202	100.00	202	100.00	177	177	100.00	177	100.00
Total	**1886**	**1886**	**100.00**	**1050**	**100.00**	**1738**	**1738**	**100.00**	**1738**	**100.00**
					Workers					
Male	1050	1050	100.00	1050	100.00	1080	1080	100.00	1080	100.00
Female	464	464	100.00	464	100.00	458	458	100.00	458	100.00
Total	**1514**	**1514**	**100.00**	**1514**	**100.00**	**1538**	**1538**	**100.00**	**1538**	**100.00**

9. Details of performance and career development reviews of employees and worker:

Category	FY 2025 - 2026			FY 2024 - 2025		
	Total (A)	No. (B)	% (B / A)	Total (D)	No. (E)	% (E / D)
			Employees			
Male	1684	919	54.57	1561	919	58.87
Female	202	104	51.49	177	104	58.76
Total	**1886**	**1023**	**54.24**	**1738**	**1023**	**58.86**
			Workers			
Male	1050	368	19.51%	1080	368	34.07
Female	464	1	0.22	458	1	0.22
Total	**1514**	**369**	**24.37**	**1538**	**369**	**23.99**

Note: Only permanent employees and permanent workers are provided performance and career development reviews.

10. **Health and safety management system**

S. no	Particulars	Response
a.	Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No) If Yes, the Coverage such systems?	Our comprehensive Health and Safety Management System (HSMS) covers 100% of permanent employees and 100% of contract workers across all Plants. This system, aligned with like ISO 45001 , promotes proactive hazard identification, risk assessment, and control measures. We conduct mandatory Safety / Food Safety for all employees, with refresher courses scheduled on Monthly basis. Training records are maintained at each factory HR for easy tracking and compliance verification. Incident reporting protocols are in place, with investigations led by trained safety officers and root cause analysis conducted within 48hours of incident occurrence. Corrective and preventive actions (CAPA) are documented and tracked for effectiveness. Regular audits, both internal and external done yearly, are conducted to ensure system adherence and identify areas for improvement. Audit findings are reported to senior management, and action plans are implemented to address any non-conformances within 60 days. Regularly tested through Mock drills on half yearly basis involving both employees and relevant community stakeholders where applicable.
b.	What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity? If Yes, describe the processes?	Regularly conduct comprehensive hazard identification & risk assessment for operations affecting plant, utilizing ISO 45001 principles. This involves: Maintain detailed records of all processes. We utilize a documented methodology, reviewed annually, and available to all stakeholders.
c.	Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks? (Yes / No) If Yes, describe the reporting and protection mechanisms?	Our Company has clear processes for reporting work-related hazards to their supervisors or designated safety officers. These processes includes both formal reporting mechanisms, such as incident reports, and informal reporting mechanisms, such as verbal reporting. Workers are also trained on how to identify and report hazards in their workplace. Additionally, regular safety audits and training are conducted to ensure workers are aware of and follow these processes.
d.	Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes / No) If Yes, describe the healthcare services?	The organization provides comprehensive healthcare support through first aid facilities at each unit, well-equipped medical boxes for emergencies, in-house first aid rooms, availability of ambulance services, tie-ups with local hospitals and emergency services, along with Mediclaim benefits to support employees financially.

11. **Details of safety related incidents, in the following format:**

Safety Incident/Number	Category*	FY 2025 - 2026	FY 2024 - 2025
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	2.92 lakh man safe hours and LTI - 0.00	5.2 lakh man safe hours and LTI - 0.00
	Workers	11.96 lakh man safe hours and LTI - 0.00	8.9 lakh man safe hours and LTI - 0.00
Total recordable work-related injuries	Employees	-	-
	Workers	-	-
No. of fatalities	Employees	-	-
	Workers	-	-
High-consequence work-related injury or ill health (excluding fatalities)	Employees	-	-
	Workers	-	-

12. **Describe the measures taken by the entity to ensure a safe and healthy workplace.**

To ensure a safe and healthy workplace, our Company has implemented several measures.

- Firstly, regular safety audits and risk assessments are conducted to identify and address potential hazards.
- Secondly, workers receive comprehensive safety training and be equipped with appropriate personal protective equipment.

- Thirdly, the entity has established clear protocols for reporting and addressing work-related hazards, as well as mechanisms for workers to provide feedback and suggest improvements.
- Fourthly, regular health checks and medical screenings are provided to workers to identify and address any health issues.

Lastly, the entity has established safety culture by promoting safety and health awareness among workers.

13. **Number of Complaints on the following made by employees and workers:**

Particulars	FY 2025 - 2026			FY 2024 - 2025		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	-	-	We have Works Committee at factory and Grievance committee in Corporate office to track any grievances reported.	-	-	NIL
Health & Safety	-	-	We have Safety Committee	-	-	NIL

14. **Assessment for the year:**

Particulars	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100
Working Conditions	100

15. **Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks/ concerns arising from assessments of health & safety practices and working conditions.**

The Company has been following standard operating procedures to comply with state/local level regulations and ensure safety and hygiene protocols.

4 PRINCIPLE

Businesses should respect the interests of and be responsive to all its stakeholders.

(This principle highlights the importance of stakeholder engagement. Companies should consider the interests and perspectives of all stakeholders, including shareholders, employees, customers, suppliers, and the communities in which they operate. They should also be responsive to stakeholder concerns and feedback.)

Essential Indicators

1. **Describe the processes for identifying key stakeholder groups of the entity.**

The stakeholder identification process enables Parag to recognize and engage with stakeholders based on the following parameters:

1. Dependency

Includes individuals or groups that are directly or indirectly dependent on the Company's activities, products, services, or performance. It also includes stakeholders whose support or involvement is essential for Parag to operate effectively.

2. Legal, Commercial, Operational, or Ethical/Moral Relevance

   Includes stakeholders to whom the Company has existing or potential legal, commercial, operational, or ethical/moral obligations. This ensures that the Company acts responsibly, transparently, and in compliance with its commitments across all stakeholder relationships.

3. Impact on Decision-Making

   Includes stakeholders who have the ability to influence the Company's strategic or operational decisions through advocacy, regulation, partnerships, investments, or other means. Engaging with these stakeholders helps the Company mitigate risks, build trust, and align its business objectives with stakeholder expectations.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable/ Marginalized Group (Yes/ No)	Channels of Communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Shareholders	No	• Annual General Meeting • Shareholder meets • Email • Stock Exchange (SE) Intimations • Investor/analysts meet • Conference calls • Annual report • Quarterly results • Media releases • Company/SE website • Notice • Newspaper advertisements • One–on–one interaction • Customer satisfaction survey • Feedback surveys and calls post redressal of complaints • Customer service helpline	Quarterly, Half-yearly, Annually and Event based	Share price appreciation, dividends, profitability and financial stability • Robust ESG practices, climate change risks, cyber risks, growth prospects • Queries/suggestions/ assurance/complaints etc • Understanding shareholder expectations
Government/ Regulatory authorities	No	• E-mails and letters • Conferences • Industry forums • Regulatory filings • Meetings with officials • Representations	Periodical basis as provided under relevant legislations	In relation to Compliances with applicable laws, Industry concerns, changes in regulatory frameworks, skill and capacity building, employment

Stakeholder Group	Whether identified as Vulnerable/ Marginalized Group (Yes/ No)	Channels of Communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Customers	No	• Partnering with them in their journey from products to services • One–on–one interaction • Customer satisfaction survey • Feedback surveys and calls post redressal of complaints. Customer service helpline • Email, Telephone and physical and VC Meetings	Fortnightly and requirement basis	• Queries/suggestions/ assurance/complaints etc • Understating the customers' requirements
Employees	No	• Personalised learning and development programmes • Regular performance review and feedback • One-on-one engagement, townhall meetings • Employee engagement surveys. • Programmes catered around overall wellbeing • Intranet Portal • Emails, Notice Board, Meetings	Daily	Hearing of all employee concerns, conducting meetings, People voice meeting, Suggestion Schemes, Conducting enquiries
Bankers	No	• Periodical Meetings • Periodical Reports • Emails • One-on-one engagement	Requirement basis	• Understand the banking compliance • Maintaining rapport with our bankers • Banking/Credit facilities.
Community	No	• Collaboration with non-governmental organisations (NGOs) • Field visits • CSR and sustainability initiatives • Skill development • One-on-one interactions	Periodically	Integrated water management, clean water, Natural Resource Management, community development, livelihood support, disaster relief, Education, Skill development.
Waste Collection Agents	No	• Emails • Need based meetings	Requirement basis	Compliance to legal requirements, to carry out sound management of the waste generated by the Company

Stakeholder Group	Whether identified as Vulnerable/ Marginalized Group (Yes/ No)	Channels of Communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Subsidiaries	No	• Emails • Need based meetings • Periodical Reports	Quarterly and requirement basis	Discussions on major Investment/ expansion plans, sharing of performance data, facilitate decision making on major topics.
Peers	No	• Industry events and conferences • Trade associations and industry groups • Market research and analysis • Benchmarking studies	Requirement basis	To provide considerations and share insights on global developments
Board of Directors	No	• Board Meetings - Engage with Board members through regular board meetings, either in person or virtually, to discuss company performance, strategy, and challenges. Meetings usually happen on a regular basis, such as quarterly • Board Committees - Engage with Board committee members, such as Audit, CSR, and Risk Management committees, for more focused updates and discussions on specific areas of the company's operations • Board Reports - Provide regular reports to the Board on company performance and progress towards strategic goals. Reports may include financial updates, key performance indicators, or other relevant information • Informal Updates - Provide informal updates to Board members on an ongoing basis through channels such as emails, phone calls, or meetings outside of regular Board meetings	Quarterly and event/need basis	Company's business operations, planning, strategies etc.

5 PRINCIPLE

Businesses should respect and promote human rights.

(This principle focuses on the importance of human rights. Companies should respect and promote human rights, including the rights to freedom of expression, association, and privacy. They should also prevent and address human rights violations in their operations and value chains.)

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format

Category	FY 2025 - 2026			FY 2024 - 2025		
	Total (A)	No. of employees/ workers covered (B)	% (B / A)	Total (C)	No. of employees/ workers covered (D)	% (D / C)
Employees						
Permanent	1670	1670	100.00	1563	1563	100.00
Other than permanent	216	216	100.00	175	175	100.00
Total Employees	**1886**	**1886**	**100.00**	**1738**	**1738**	**100.00**
Workers						
Permanent	403	403	100.00	406	406	100.00
Other than permanent	1111	1111	100.00	1132	1132	100.00
Total Workers	**1514**	**1514**	**100.00**	**1538**	**1538**	**100.00**

2. Details of minimum wages paid to employees and workers

Category	FY 2025 - 2026					FY 2024 - 2025				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B /A)	No. (C)	% (C /A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent										
Male	1479	-	-	1479	100	1398	-	-	1398	100
Female	191	-	-	191	100	165	-	-	165	100
Total	**1670**	**-**	**-**	**1670**	**100**	**1563**	**-**	**-**	**1563**	100
Other than Permanent										
Male	205	-	-	205	100	163	-	-	163	100
Female	11	-	-	11	100	12	-	-	12	100
Total	**216**	**-**	**-**	**216**	**100**	**175**	**-**	**-**	**175**	**100**
Workers										
Permanent										
Male	402	-	-	402	100	405	-	-	405	100
Female	1	-	-	1	100	1	-	-	1	100
Total	**403**	**-**	**-**	**403**	**100**	**406**	**-**	**-**	**406**	100
Other than Permanent										
Male	648	-	-	648	100	675	-	-	675	100
Female	463	-	-	463	100	457	-	-	457	100
Total	**1111**	**-**	**-**	**1111**	**100**	**1132**	**-**	**-**	**1132**	**100**

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

Particular	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category (INR in Crore per annum)	Number	Median remuneration/ salary/ wages of respective category (INR in Crore per annum)
Board of Directors (BOD)	6	0.36	2	3.37
Key Managerial Personnel	1	0.31	-	-
Employees other than BOD and KMP	1479	0.03	191	0.03
Workers	402	0.03	1	0.01

Note: Board of Directors consists of Chairman, MD, one Executive Director and Five Non-Executive Directors & KMP includes only Company Secretary.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

Particulars	FY 2025 - 2026	FY 2024 - 2025
Gross wages paid to females as % of total wages	3.83%	4.00%

4. **Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?**

Yes: The Company has established dedicated teams within its Human Resources Department at the various operating facilities, which are tasked with addressing any human rights concerns that may arise.

5. **Describe the internal mechanisms in place to redress grievances related to human rights issues.**

Grievance Reporting Mechanism	The Company has implemented a confidential and accessible complaints system through which employees, stakeholders, or affected individuals can report human rights-related concerns. This mechanism is designed to ensure anonymity, where requested, and ease of access for all individuals. Investigation and Remedial Action: Upon receiving a complaint, a dedicated internal team promptly initiates an investigation to assess the validity and seriousness of the issue. Based on the findings, appropriate remedial actions are taken to resolve the matter in a fair and timely manner. Employee Awareness and Training: All employees receive regular training and resources related to human rights, ethical conduct, and respectful workplace behaviour. These initiatives aim to promote a culture of inclusion, dignity, and mutual respect across the organization. Monitoring and Audits: The Company conducts periodic internal assessments and third-party audits to evaluate compliance with human rights policies. These evaluations help in identifying gaps and areas for continuous improvement. Stakeholder Engagement: The Company maintains open and ongoing communication with key stakeholders, including local communities, civil society organizations, and relevant government bodies. This ensures that grievances from external parties are also captured and addressed effectively. Commitment to Inclusivity: Through these mechanisms, the Company reinforces its commitment to upholding human rights and fostering an inclusive and equitable work environment for all.

6. **Number of Complaints on the following made by employees and workers:**

Particulars	FY 2025 - 2026			FY 2024 - 2025		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	-	-	-	-	-	-
Discrimination at workplace	-	-	-	-	-	-
Child Labour	-	-	-	-	-	-
Forced Labour / Involuntary Labour	-	-	-	-	-	-
Wages	-	-	-	-	-	-
Other human rights related issues	-	-	-	-	-	-

7. **Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:**

Particulars	FY 2025 - 2026	FY 2024 - 2025
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	-	-
Complaints on POSH as a % of female employees / workers	-	-
Complaints on POSH upheld	-	-

8. **Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.**

   Our Company is committed to a workplace free of harassment, including sexual harassment at the workplace, and has zero tolerance for such unacceptable conduct. Our Company encourages reporting of any harassment concerns and is responsive to complaints about harassment or other unwelcome or offensive conduct. Committees have been constituted across locations to enquire into complaints of sexual harassment and to recommend appropriate action, wherever required. Necessary disclosures in relation to the sexual harassment complaints received and redressal thereof are provided in our Integrated Annual Report. Regular awareness and training sessions are conducted to ensure that the employees are fully aware of the aspects of sexual harassment and of the redressal mechanism.

9. **Do human rights requirements form part of your business agreements and contracts? (Yes/No/NA)**

   Yes: Our Company ensures that its suppliers/contractors comply with the law of the land regarding human rights by getting such clauses incorporated in their respective contracts/agreements.

10. **Assessments for the year:**

Name of the Assessment	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	-
Forced/involuntary labour	-
Sexual harassment	-
Discrimination at workplace	-

11. **Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.**

   Our company takes its commitment to human rights seriously and has established a robust Policy to address significant risks and concerns related to child labour, forced labour, sexual harassment, discrimination, and wages. This includes regular assessments to identify any potential violations and regular training for employees to promote awareness and prevent such incidents. In the event of any violations being identified, the company takes prompt and effective corrective action, which may include suspension of work, termination of contracts, or even legal action, as appropriate. Additionally, the company continuously reviews and strengthens its policies and procedures to ensure that human rights are upheld across all operations.

6

PRINCIPLE

Businesses should respect and make efforts to protect and restore the environment.

(This principle emphasizes the importance of environmental stewardship. Companies should minimize their impact on the environment, conserve natural resources, and promote environmental sustainability. They should also take steps to restore and rehabilitate degraded ecosystems.)

Essential Indicators

1. **Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:**

Parameter	FY 2025 - 2026 (in Giga joules)	FY 2024 - 2025 (in Giga joules)
From renewable sources		
Total electricity consumption (A)	44,776	49,047
Total fuel consumption (B)	5,901	4,097
Energy consumption through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	50,677	53,144
From non-renewable sources		
Total electricity consumption (D)	1,45,472	1,31,189
Total fuel consumption (E)	7,90,133	8,77,055
Energy consumption through other sources (F)	0	-
Total energy consumed from non-renewable sources (D+E+F)	9,35,605	10,08,244
Total energy consumed (A+B+C+D+E+F)	9,86,282	10,61,388
Energy intensity per rupee of turnover [Total energy consumed (in GJ) / Revenue from operations (in rupees)]	0.0000264	0.0000315
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) [Total energy consumed (in GJ)/ Revenue from operations in rupees adjusted for PPP]	0.0005361	0.0006512
Energy intensity in terms of physical output [Total energy consumed (in GJ) / physical output not specified]	0.0067261	0.0065969
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-
Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency?		
If yes, name of the external agency.	Limited assurance has been carried out by J Sundharesan & Associates	

(The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 and 2025 by IMF for India which is 20.34 and 20.66 respectively. Physical output has been calculated as the sum of total quantity of Commodities that have been produced during the year.)

2. **Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Yes/No)**

   If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

   Designated Consumers (DCs): No

   Targets Achieved: No

   Remedial Action Details: No, we do not have any sites/facilities as Designated Consumers (DCs) under the PAT scheme of the Government of India.

3. **Provide details of the following disclosures related to water, in the following format:**

Parameter	FY 2025 - 2026	FY 2024 - 2025
Water withdrawal by source (in kilolitres)		
(i) Surface water	1,04,856	1,08,366
(ii) Groundwater	1,07,613	91,028
(iii) Third party water	1,60,920	1,62,223
(iv) Seawater / desalinated water	-	-
(v) Others	-	-
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	3,73,389	3,61,617
Total volume of water consumption (in kilolitres)	3,73,389	3,61,617
Water intensity per rupee of turnover [Total water consumption (in KL) / Revenue from operations (in rupees)]	0.0000100	0.0000107
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) [Total water consumption (in KL) / Revenue from operations in rupees adjusted for PPP]	0.0002030	0.0002219
Water intensity in terms of physical output [Total water consumption (in KL) / mention the physical output details]	0.0025464	0.0022476
Water intensity (optional) – the relevant metric may be selected by the entity	-	-
Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Yes/No)		
If yes, name of the external agency.	Limited assurance has been carried out by J Sundharesan & Associates	

(The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 and 2025 by IMF for India which is 20.34 and 20.66 respectively. Physical output has been calculated as the sum of total quantity of Commodities that have been produced during the year.)

Note:

The Company has implemented a Nanofiltration–Reverse Osmosis (NF-RO) plant to recover water from cheese whey and has also established systems to recycle treated water from the Effluent Treatment Plant (ETP), thereby reducing freshwater consumption and enhancing water reuse across operations.

4. **Provide the following details related to water discharged:**

Parameter	FY 2025 - 2026	FY 2024 - 2025
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
No treatment	-	-
With treatment – Manchar Plant : Tertiary treatment	-	-
(ii) To Groundwater		
No treatment	-	-
With treatment – please specify level of treatment	-	-
(iii) To Seawater		
No treatment	-	-
With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties		
No treatment	-	-
With treatment – please specify level of treatment	-	-
(v) Others		
No treatment	-	-
With treatment – please specify level of treatment	3,69,729	3,72,153
Total water discharged (in kilolitres)	3,69,729	3,72,153
Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)		
If yes, name of the external agency.	Limited assurance has been carried out by J Sundharesan & Associates	

5. **Has the entity implemented a mechanism for Zero Liquid Discharge?**

If yes, provide details of its coverage and implementation.

The Company has implemented a comprehensive ZLD programme aimed at eliminating the discharge of liquid waste from its operations.

Prevention of Pollution: The ZLD initiative covers various operational processes and is designed to prevent the release of harmful chemicals, pollutants, and untreated effluents into the environment.

Advanced Treatment Systems: The Company has invested in advanced effluent treatment and water management systems to support its ZLD objectives and ensure effective treatment and management of wastewater.

Continuous Improvement: The Company continuously explores opportunities to optimize operational processes and adopt cleaner and more sustainable technologies.

Reuse of Treated Effluent: Treated effluent generated from production facilities is recycled and reused for non-potable applications, including washing milk storage tankers and crates.

Gardening and Landscaping: Treated effluent is also utilized for gardening and landscaping activities, thereby reducing the dependence on freshwater resources.

Resource Conservation: Through recycling and reuse of treated effluent, the Company seeks to reduce freshwater consumption, minimize wastewater discharge, and promote responsible water resource management.

6. **Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:**

Parameter	Please specify unit	FY 2025 - 2026	FY 2024 - 2025
NOx	mg/Nm3	36.80	36.00
SOx	mg/Nm3	29.80	35.82
Particulate matter (PM)	ppm	39.10	34.82
Persistent organic pollutants (POP)	ppm	-	-
Volatile organic compounds (VOC)	ppm	-	-
Hazardous air pollutants (HAP)	ppm	-	-
Others – please specify	ppm	-	-
Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N)			
If yes, name of the external agency.	Yes: The assessment has been carried out in-house by the Company.		

7. **Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:**

Parameter	Unit	FY 2025 - 2026	FY 2024 - 2025
Total Scope 1 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Metric tonnes of CO_2 equivalent	93,459	81,268
Total Scope 2 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Metric tonnes of CO_2 equivalent	30,444	24,834
Total Scope 1 and Scope 2 emissions per rupee of turnover [Total Scope 1 and Scope 2 GHG emissions (in $MTCO_2e$) / Revenue from operations (in rupees)]		0.0000033	0.0000032
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) [Total Scope 1 and Scope 2 GHG emissions (in $MTCO_2e$) / Revenue from operations in rupees adjusted for PPP]		0.0000673	0.0000651
Total Scope 1 and Scope 2 emission intensity in terms of physical output [Total Scope 1 and Scope $_2$ GHG emissions (in $MTCO_2e$) / mention the physical output details]		0.0008450	0.0006595
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		-	-
Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N)			
If yes, name of the external agency.		Limited assurance has been carried out by J Sundharesan & Associates	

(The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 and 2025 by IMF for India which is 20.34 and 20.66 respectively. Physical output has been calculated as the sum of total quantity of Commodities that have been produced during the year.)

8. **Does the entity have any project related to reducing Green House Gas emission? (Yes / No)**

Does the entity have any project related to reducing Green House Gas emission? (Yes / No) Yes	**Solar Power Agreements:** We have entered into agreements for the purchase and delivery of solar power with Tata Solar Power, committing to an 8 MVA Solar Power capacity. The Power Purchase Agreement (PPA), Shareholder Agreement (SHA), and Power Delivery Agreement (PDA) have been completed • **Biogas Power Generation:** Currently, we are generating 2,000 units per day from biogas produced at our Effluent Treatment Plant (ETP). This renewable energy is being used to support operations and reduce reliance on non-renewable energy sources. • **Biogas for Canteen Operations:** Biogas generated from our ETP is also being used in our canteen, replacing 7 LPG cylinders per day. This has led to an annual savings of 49,000 kg of LPG, demonstrating our commitment to utilizing renewable energy sources in daily operations. • **Refrigeration System Upgrade:** We have transitioned 1,200 TR refrigeration units from Freon to 134A, which contributes to the reduction of ozone depletion. We plan to replace all remaining Freon-based systems by 2026 to further mitigate environmental impact. • **Ozone-Friendly Refrigerants:** Additionally, 12 TR refrigeration units have been replaced from R22 to R407C, a more environmentally friendly alternative. We will continue replacing Freon-based refrigeration units until 2026. • **Wood Briquettes for Boilers:** In our efforts to reduce the use of fossil fuels, we have switched to wood briquettes for boiler operations, leading to a reduction in coal consumption by 6 tons annually. • **Biogas Generation from Cow Dung:** At our cow farm, we are generating 1,800 units per day of biogas from cow dung. This renewable energy contributes to both environmental sustainability and operational efficiency. • **Integrated Renewable Energy and Sustainable Agriculture:** In partnership with Irisoil Agro Tech Pvt. Ltd, we have launched an integrated renewable energy and sustainable agriculture scheme for our milk producers. This initiative provides household-level biogas plants, slurry filtration units, vermicomposting bags and ozola bags at no cost about 250 milk producers. As a result, these farmers no longer need to purchase gas cylinders throughout the year, reducing their dependency on non-renewable energy.

9. **Provide details related to waste management by the entity, in the following format:**

Parameter	FY 2025 - 2026	FY 2024 - 2025
Total Waste generated (in metric tonnes)		
Plastic waste (A)	87.65	38.81
E-waste (B)	2.09	583.51
Bio-medical waste (C)	4.51 Kg	46 Grams
Construction and demolition waste (D)	-	NIL
Battery waste (E)	0.41	NIL
Radioactive waste (F)	-	-
Other Hazardous waste.	Scrap oil - 4.3 KL	Scrap Oil-2.8 KL
Please specify, if any. (G)		
Other Non-hazardous waste generated (H). ETP Sludge & Fly Ash specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	ETP Sludge-529 MT Fly Ash-684 MT	ETP Sludge-620 MT Fly Ash-1263.110 MT
Total (A+B + C + D + E + F + G + H)	1307.53	2,508.23
Waste intensity per rupee of turnover [Total waste generated (in MT) / Revenue from operations (in rupees)]	0.000000035	0.000000074
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) [Total waste generated (in MT) / Revenue from operations in rupees adjusted for PPP]	0.0000007	0.0000015
Waste intensity in terms of physical output [Total waste generated (in MT) / mention the physical output details]	0.0000089	0.0000156
Waste intensity (optional) – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	107.38	38.81 MT
(ii) Re-used	ETP Sludge-529 MT Fly Ash-684 MT	ETP Sludge-620 MT Fly Ash-1263.110 MT

Parameter	FY 2025 - 2026	FY 2024 - 2025
(iii) Other recovery operations	-	-
Total	1320.38	1,921.92 MT
For each category of waste generated, total waste disposed by nature of disposal (in metric tonnes)		
Category of waste		
(i) Incineration	100 % incinerated 4.51 kg of Biomedical waste	100 % incinerated 46 grams of Biomedical waste
(ii) Landfilling	-	-
(iii) Other disposal operations	Scrap used oil- 4.3 KL	Scrap used oil- 2.8 KL
Total	i) 100 % incinerated 4.51 kg of Biomedical waste ii) Scrap used oil- 4.3 KL	i) 100 % incinerated 46 grams of Biomedical waste ii) Scrap used oil- 2.8 KL
Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N)		
If yes, name of the external agency.	Limited assurance has been carried out by J Sundharesan & Associates	

(The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor published for the year 2026 and 2025 by IMF for India which is 20.34 and 20.66 respectively. Physical output has been calculated as the sum of total quantity of Commodities that have been produced during the year.)

10. **Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.**

Our Company ensures responsible waste management practices involving 100% recycling of plastic waste as EPR, 100% Fly ash use, ETP treated water usage for Gardening and Agriculture, Safe disposal of waste across locations. Biogas generated during Effluent treatment (within the plant) is used for Cooking and Electricity generation.

11. **If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:**

Sr. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N)	If no, the reasons thereof and corrective action taken, if any.
1	-	-	-	-

12. **Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the following format:**

Sr. No.	Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No)	Relevant Web link
1	-	-	-	-	-	-

13. **Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N).**

Yes

If not, provide details of all such non-compliances, in the following format:

Sr. No.	Specify the law / regulation/ guidelines which was not complied with	Provide details of the non- compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts
1	-	-	-

7

PRINCIPLE

Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

(This principle highlights the importance of responsible advocacy. Companies should engage in policy advocacy in a responsible and transparent manner, and avoid engaging in activities that could undermine the public interest or the democratic process.)

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/associations.

   3

   b. List the top 10 trade and industry chambers/ associations (determined based on the total numbers of such body) the entity is a member of/affiliated to.

Sr. No.	Name of the Trade and Industry Chambers / Associations	Reach of Trade and Industry Chambers / Associations (State / National / International)
1	Federation of Indian Export Organization (FIEO).	National
2	Confederation of Indian Industries (CII)	National
3	Indian Dairy Association	National

2. **Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.**

Name of authority	Brief of the case	Corrective action taken
-	-	-

8

PRINCIPLE

Businesses should promote inclusive growth and equitable development.

(This principle emphasizes the importance of promoting inclusive and equitable economic development. Companies should create economic opportunities for all, including disadvantaged and marginalized groups. They should also contribute to the development of local communities and support social and economic empowerment.)

Essential Indicators

1. **Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
No SIA projects in current FY					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Sr. No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In INR)
1	No R&R projects in current FY	-	-	-	-	-

3. **Describe the mechanisms to receive and redress grievances of the community.**

   The Grievance Redressal Mechanism (GRM) plays a vital role in strengthening our relationship with the local community and supports our social license to operate, particularly in the execution of community development initiatives. As part of this mechanism, local employees are actively engaged in conducting regular visits and interactions with community members to understand and address any concerns they may have.

   These continuous engagements help us maintain open communication and foster trust. To date, no specific grievances have been reported by the community through these channels.

4. **Percentage of input material (inputs to total inputs by value) sourced from suppliers:**

Particulars	FY 2025 - 2026	FY 2024 - 2025
Directly sourced from MSMEs/ small producers	8.27	5.29
Directly from within India	91.65	94.51

5. **Job creation in smaller towns - Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost**

Particulars	FY 2025 - 2026	FY 2024 - 2025
Rural	57%	54%
Semi-urban	-	-
Urban	5%	-
Metropolitan	38%	46%

   (Place to be categorized as per RBI Classification System - rural / semi-urban / urban/metropolitan)

9 PRINCIPLE

Businesses should engage with and provide value to their consumers in a responsible manner.

(This principle highlights the importance of responsible consumer engagement. Companies should provide safe, high-quality products and services, and ensure that they are marketed and sold ethically and responsibly. They should also be transparent about their products and services; and provide consumers with the information they need to make informed choices.)

Essential Indicators

1. **Describe the mechanisms in place to receive and respond to consumer complaints and feedback.**

   We are committed to delivering high-quality products and exceptional customer service. Recognizing that concerns may occasionally arise, we have established a comprehensive consumer grievance redressal mechanism to ensure that every complaint is addressed promptly, fairly, and effectively.

   We have implemented a structured process for receiving, tracking, and resolving consumer complaints in a timely manner. Our dedicated customer service team is trained to handle customer concerns with professionalism, empathy, and efficiency, while working closely with relevant internal teams to ensure appropriate resolution and continuous improvement.

   We value customer feedback as an important driver of product and service enhancement. By actively listening to our consumers and addressing their concerns transparently, we strive to build trust, strengthen customer relationships, and enhance overall customer satisfaction. Delivering a positive customer experience remains a key priority across all our operations.

2. **Turnover of products and/ services as a percentage of turnover from all products/service that carry information about**

Particular	As a percentage to total turnover
Environmental and social parameters relevant to the product	100
Safe and responsible usage	100
Recycling and/or safe disposal	100

3. **Number of consumer complaints in respect of the following:**

Particular	FY 2025 - 2026			FY 2024 - 2025		
	Received during the year	Pending resolution at end of year	Remark	Received during the year	Pending resolution at end of year	Remark
Data privacy	-	-	-	-	-	No such complaint received during the reporting period
Advertising	-	-	-	-	-	No such complaint received during the reporting period
Cyber-security	-	-	-	-	-	No such complaint received during the reporting period
Delivery of essential services	310	-	-	299	-	All consumer complaints with regards to delivery of milk have been construed under consumer complaints regarding delivery of essential services
Restrictive Trade Practices	-	-	-	-	-	No such complaint received during the reporting period
Unfair Trade Practices	-	-	-	-	-	No such complaint received during the reporting period
Other	2522	-	-	1920	-	It includes all consumer queries, product related information and complaints, and services, received through phone, emails.

Note: All consumer complaints with regards to delivery of milk have been construed under consumer complaints regarding delivery of essential services

**It includes all consumer queries, product related information and complaints, and services, received through phone, emails.

4. **Details of instances of product recalls on account of safety issues:**

Particular	Number	Reason for recall
Voluntary recalls	-	-
Forced recalls	-	-

5. **Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No)**

The Company's approach to cyber and data privacy risks is governed by the Information Management Policy, which outlines the overarching framework for managing information security. The Privacy Policy, which forms an integral part of the Information Management Policy, is accessible to employees via Parag's Portal.

If available, provide a web link of the policy

Please refer to: https://www.paragmilkfoods.com/policy.php?id=70

6. **Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.**

No penalty or action taken by any authority on safety of products/services around issues relating to advertising, cybersecurity, data privacy or delivery of essential services. There have been no instances of product recalls or action taken by regulatory authorities with regards to safety of products.

7. **Number of instances of data breaches along-with impact**

Particular	Current Financial Year	Previous Financial Year
1. Number of instances of data breaches	Nil	-
2. Percentage of data breaches involving personally identifiable information of customers	-	-
3. Impact, if any, of the data breaches	-	-